# Restaurant Management Review

## Monthly comparison for three fictional stores

Fictional demonstration data. No actual company financials, recipes or operating results.

| Store | Period 2 sales | Direct operating costs | Contribution margin | Operating result | Result margin |
|---|---|---|---|---|---|
| Store A | $91,200 | $62,940 | 31.0% | $2,560 | 2.8% |
| Store B | $63,600 | $42,900 | 32.5% | $500 | 0.8% |
| Store C | $136,500 | $84,880 | 37.8% | $20,650 | 15.1% |

## What the comparison shows

Store A has lower sales and a weaker operating result. Store B moves from a loss to a small positive result as higher sales cover the cost increase. Store C produces the largest operating result in this demonstration.

## Management questions

Review food purchases and labor alongside demand. Compare channel contribution after commissions and advertising. Investigate a variance before assuming that lower spending represents an efficiency improvement.

## Definitions

Direct operating costs include food and beverage, central kitchen fees, restaurant labor and marketplace commissions. Contribution is revenue less those costs. Operating result subtracts all eight expense categories shown in the supporting workbook. It is a demonstration management subtotal, not a certified EBITDA or audited accounting measure.

## Period assumptions

Period 1 contains 31 days and Period 2 contains 30 days. Revenue and expenses are synthetic inputs. No investment, tax, financing or depreciation schedules are modeled. Recommendations are analytical examples, not claims of company decisions or achieved savings.

# Store A

## Operating comparison

| Measure | Period 1 | Period 2 | Change |
|---|---|---|---|
| Sales | $95,000 | $91,200 | ($3,800) |
| Direct operating costs | $63,600 | $62,940 | ($660) |
| Contribution | $31,400 | $28,260 | ($3,140) |
| Other operating expenses | $25,750 | $25,700 | ($50) |
| Operating result | $5,650 | $2,560 | ($3,090) |
| Operating result margin | 5.9% | 2.8% | -3.1 pp |

## Expense detail

| Expense | Period 1 | Period 2 | Profit impact |
|---|---|---|---|
| Food and beverage | $24,700 | $25,536 | ($836) |
| Central kitchen fees | $3,800 | $4,104 | ($304) |
| Restaurant labor | $21,800 | $21,900 | ($100) |
| Marketplace commissions | $13,300 | $11,400 | $1,900 |
| Advertising | $4,200 | $3,800 | $400 |
| Utilities | $2,450 | $2,540 | ($90) |
| Transportation | $700 | $760 | ($60) |
| Other operating expenses | $18,400 | $18,600 | ($200) |

## Interpretation

Sales change by ($3,800). After the expense changes above, operating result changes by ($3,090). Daily sales change by -0.8%. This separates the effect of different month lengths from the total sales comparison.

## Suggested review

Check food quantities, purchase prices, labor scheduling and channel costs before choosing an action. Track the cost and outcome of each approved test separately.

# Store B

## Operating comparison

| Measure | Period 1 | Period 2 | Change |
|---|---|---|---|
| Sales | $58,000 | $63,600 | $5,600 |
| Direct operating costs | $40,500 | $42,900 | $2,400 |
| Contribution | $17,500 | $20,700 | $3,200 |
| Other operating expenses | $19,600 | $20,200 | $600 |
| Operating result | ($2,100) | $500 | $2,600 |
| Operating result margin | -3.6% | 0.8% | +4.4 pp |

## Expense detail

| Expense | Period 1 | Period 2 | Profit impact |
|---|---|---|---|
| Food and beverage | $16,000 | $17,100 | ($1,100) |
| Central kitchen fees | $2,500 | $2,700 | ($200) |
| Restaurant labor | $14,500 | $16,300 | ($1,800) |
| Marketplace commissions | $7,500 | $6,800 | $700 |
| Advertising | $3,000 | $3,200 | ($200) |
| Utilities | $1,000 | $1,200 | ($200) |
| Transportation | $600 | $600 | $0 |
| Other operating expenses | $15,000 | $15,200 | ($200) |

## Interpretation

Sales change by $5,600. After the expense changes above, operating result changes by $2,600. Daily sales change by 13.3%. This separates the effect of different month lengths from the total sales comparison.

## Suggested review

Check food quantities, purchase prices, labor scheduling and channel costs before choosing an action. Track the cost and outcome of each approved test separately.

# Store C

## Operating comparison

| Measure | Period 1 | Period 2 | Change |
|---|---|---|---|
| Sales | $132,000 | $136,500 | $4,500 |
| Direct operating costs | $82,360 | $84,880 | $2,520 |
| Contribution | $49,640 | $51,620 | $1,980 |
| Other operating expenses | $30,900 | $30,970 | $70 |
| Operating result | $18,740 | $20,650 | $1,910 |
| Operating result margin | 14.2% | 15.1% | +0.9 pp |

## Expense detail

| Expense | Period 1 | Period 2 | Profit impact |
|---|---|---|---|
| Food and beverage | $33,000 | $35,000 | ($2,000) |
| Central kitchen fees | $5,200 | $5,500 | ($300) |
| Restaurant labor | $27,000 | $28,000 | ($1,000) |
| Marketplace commissions | $17,160 | $16,380 | $780 |
| Advertising | $5,400 | $5,100 | $300 |
| Utilities | $3,300 | $3,450 | ($150) |
| Transportation | $700 | $720 | ($20) |
| Other operating expenses | $21,500 | $21,700 | ($200) |

## Interpretation

Sales change by $4,500. After the expense changes above, operating result changes by $1,910. Daily sales change by 6.9%. This separates the effect of different month lengths from the total sales comparison.

## Suggested review

Check food quantities, purchase prices, labor scheduling and channel costs before choosing an action. Track the cost and outcome of each approved test separately.

# Channel Economics and Tests

## Proposed tests

### Direct checkout

Check the ordering link, mobile checkout and pickup instructions. Track completed orders and contribution after payment and provider fees.

### Repeat ordering

Test a capped offer with customer consent and compare repeat orders against an appropriate comparison group. Deduct discounts and campaign costs.

### Marketplace advertising

Test a limited reduction in a weak campaign. Compare total store contribution and orders with advertising savings, allowing for seasonality.

### Delivery economics

Compare platform delivery and own-driver alternatives using matched revenue, commissions, incremental delivery costs and customer delivery charges.

### Measurement

Use the companion scenario model to vary assumptions. Model savings are estimates, not achieved results. Validate contract terms and avoid subtracting commissions twice when revenue is recorded net of fees.